FP-06 Milestone Plan and Payment Schedule Examples

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1. Document metadata

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Purpose and scope: describe reference milestone structures and summarize the payment schedules of the 30 fictional proposals.

2. Executive summary

Milestone plans do not change the budget score but affect risk. 2 of 30 proposals have an upfront payment above 50 percent and are flagged.

3. Why milestone plans matter in evaluation

A milestone plan ties payments to deliverables and lets the client check progress. It does not change the budget score (EVA-002), but it affects risk: a large upfront payment shifts risk to the client, while milestones with demonstrable deliverables reduce it.

4. Reference payment structures

Structure	Split (illustrative)	Typical use	Risk comment
Balanced	30 / 30 / 40	Most medium projects	Moderate upfront; final payment on acceptance
Back-loaded	20 / 20 / 20 / 40	Clients wanting leverage	Freelancer carries more risk
Front-loaded	60 / 20 / 20	Short fixed tasks	Flagged when upfront is above 50 percent

5. Milestone quality checklist

- Each milestone has a date, a deliverable and a payment share.
- Deliverables are testable (they match acceptance criteria).
- The final milestone is released after acceptance.
- Testing and handover appear in the plan.
- Payment shares add to 100 percent.

6. Payment schedules of the 30 proposals

Shares for M2, M3 and M4 divide the remainder after the upfront share in the ratio 30:40:30 (see the proposals in FP-01 to FP-03). Snapshot values.

Proposal	Job	Freelancer	M1 upfront	M2	M3	M4	Flag
PRP-001	JOB-001	FRE-001	30%	21%	28%	21%	ok
PRP-002	JOB-001	FRE-003	40%	18%	24%	18%	ok
PRP-003	JOB-001	FRE-002	50%	15%	20%	15%	ok
PRP-004	JOB-001	FRE-006	60%	12%	16%	12%	High upfront (>50%)
PRP-005	JOB-002	FRE-002	30%	21%	28%	21%	ok
PRP-006	JOB-002	FRE-001	30%	21%	28%	21%	ok
PRP-007	JOB-002	FRE-003	40%	18%	24%	18%	ok
PRP-008	JOB-002	FRE-006	30%	21%	28%	21%	ok
PRP-009	JOB-003	FRE-004	30%	21%	28%	21%	ok
PRP-010	JOB-003	FRE-003	30%	21%	28%	21%	ok
PRP-011	JOB-003	FRE-005	30%	21%	28%	21%	ok
PRP-012	JOB-004	FRE-005	30%	21%	28%	21%	ok
PRP-013	JOB-004	FRE-001	40%	18%	24%	18%	ok
PRP-014	JOB-004	FRE-003	30%	21%	28%	21%	ok
PRP-015	JOB-005	FRE-006	30%	21%	28%	21%	ok
PRP-016	JOB-005	FRE-002	30%	21%	28%	21%	ok
PRP-017	JOB-005	FRE-001	60%	12%	16%	12%	High upfront (>50%)
PRP-018	JOB-006	FRE-004	30%	21%	28%	21%	ok
PRP-019	JOB-006	FRE-003	30%	21%	28%	21%	ok
PRP-020	JOB-007	FRE-001	30%	21%	28%	21%	ok
PRP-021	JOB-007	FRE-003	30%	21%	28%	21%	ok
PRP-022	JOB-007	FRE-002	30%	21%	28%	21%	ok
PRP-023	JOB-008	FRE-003	30%	21%	28%	21%	ok
PRP-024	JOB-008	FRE-001	30%	21%	28%	21%	ok
PRP-025	JOB-008	FRE-005	30%	21%	28%	21%	ok
PRP-026	JOB-009	FRE-002	30%	21%	28%	21%	ok
PRP-027	JOB-009	FRE-001	30%	21%	28%	21%	ok
PRP-028	JOB-010	FRE-005	30%	21%	28%	21%	ok
PRP-029	JOB-010	FRE-001	50%	15%	20%	15%	ok
PRP-030	JOB-010	FRE-004	30%	21%	28%	21%	ok

Proposals with an upfront share above 50 percent: PRP-004, PRP-017. These are flagged as medium budget risk; they are not proof of bad intent.

7. Interpreting milestone plans

- A plan with fewer than three milestones gives little visibility.
- A first milestone due after more than a third of the schedule is a visibility risk.
- Unusual structures need a stated reason.

8. Evidence requirements and uncertainty

The assistant cites the proposal ID when stating a payment share and says 'milestone plan not found' when a proposal lacks one.

9. Summary of key findings

- Upfront above 50 percent is a flag.
- Milestones should tie to testable deliverables.
- Missing plans are reported as missing.

10. Keywords and alternative terminology

milestone plan; payment schedule; upfront payment; deliverables; escrow; payment share